

CAMS DOMAIN C

BUILDING AN AML/AFC COMPLIANCE PROGRAM

ALL 50+ COMPLETE EXPANDED TUTORIAL

MiCA ð OFAC ð Biometrics ð MLAT ð EWRA ð DORA ð TCSP ð PEP EDD
KYC/CDD/EDD ð Transaction Monitoring ð Data Lineage ð Clustering
Digital Onboarding ð Deepfake Detection ð AML Communications ð PSP
Risk Assessments ð Three Lines ð Board Oversight ð SAR/STR Reporting

AML Policy Mandatory Elements Trap

The Hard Question CAMS Exam Favorite

Which of the following are key elements that AML/CFT policies must include? (Select Two.)

✓ **CORRECT: 1. Assignment of compliance responsibilities. 2. Program review triggers based on regulatory or business events.**

Natural Explanation Why You Got This Wrong

- ▶ Cash flow performance figures segmented by region **NOT** AML policy content. This is financial performance.
- ▶ Marketing strategy **NOT** an AML policy element.
- ▶ **Assignment of compliance responsibilities:** Who does what? Must designate a Compliance Officer (MLRO in the UK) with clear authority and resources.
- ▶ **Program review triggers:** When to update the program? New regulations, significant business changes, new products/services, or changes in risk appetite.
- ▶ **BSA Requirement:** Written AML program must include: Internal controls, independent testing, designated compliance officer, training.
- ▶ **Key principle:** AML policies are **risk-based** tailored to the institution's specific risks.

REMEMBER: Key Rule: AML policy = **compliance responsibilities** + **review triggers** + internal controls + training + testing.

TCSP The Confidentiality and Outsourcing Trap

The Scenario CAMS Exam Favorite

A trust and company service provider (TCSP) firm is reviewing whether to accept a client who wants to incorporate in a low-tax Caribbean jurisdiction. The potential client requests confidentiality protections for all shareholders. A connection is identified to industries marked high-risk in the NRA.

The Hard Question

What should the TCSP response be?

✓ **CORRECT:** Decline immediately unless full beneficial owner information and risk justifications are disclosed and verified.

Natural Explanation Why You Got This Wrong

- ▶ Refer to offshore local counsel and detach from compliance responsibility **NO**. TCSP retains compliance responsibility. Cannot outsource AML obligations.
- ▶ Accept with standard CDD **NO**. High-risk indicators require EDD or decline.
- ▶ Confidentiality requests + high-risk industries + low-tax jurisdiction = significant red flags.
- ▶ FATF Rec 24/25: BO identification is mandatory for legal persons and arrangements.
- ▶ Offloading responsibility to local counsel = **not** a valid risk mitigation strategy.
- ▶ Key principle: You can use local counsel, but you **cannot transfer liability**. You remain responsible.

REMEMBER: Key Rule: TCSP cannot outsource AML responsibility. Decline unless BO info is disclosed and verified.

The Hard Question CAMS Exam Favorite

Which of the following are appropriate contents of internal AFC reporting submitted to governance committees? (Select Three.)

✓ **CORRECT:** 1. Updates on regulatory interactions and supervisory reviews. 2. Assessment outcomes of control effectiveness on monitoring tools. 3. Investigation statuses of escalated SAR reviews.

Natural Explanation Why You Got This Wrong

- ▶ Cash flow performance figures segmented by region **NOT** a core AFC governance report component.
- ▶ Sales targets by business unit **NOT** AFC governance content.
- ▶ **Regulatory interactions:** What did regulators say? Any findings? Any enforcement actions?
- ▶ **Control effectiveness:** Are our monitoring tools working? KPIs/KRIs on alerts, false positives, SARs.
- ▶ **SAR investigation statuses:** How many SARs filed? What's the disposition? Any law enforcement feedback?
- ▶ **Key principle:** Governance reports = **risk and compliance**, NOT financial performance.

REMEMBER: Key Rule: AFC governance reports = **regulatory interactions, control effectiveness, SAR statuses**. NOT financial metrics.

Board Oversight The Operational Trap

The Hard Question CAMS Exam Favorite

Which actions demonstrate effective board oversight of an AFC program? (Select Three.)

✓ **CORRECT:** 1. Receiving regular reports on financial crime risks and control effectiveness. 2. Reviewing whether senior management is addressing audit findings. 3. Challenging management when AFC performance metrics show signs of weakness.

Natural Explanation Why You Got This Wrong

- ▶ Participating in SAR investigations **Operational**, NOT governance.
- ▶ Conducting transaction reviews **Operational**, NOT governance.
- ▶ Board duties:
 - ▶ Receive reports (stay informed)
 - ▶ Review audit responses (hold management accountable)
 - ▶ Challenge management (ask tough questions)
- ▶ Key principle: Board = oversight and challenge. NOT doing the work.

REMEMBER: Key Rule: Board = oversight. NOT operational involvement.

Passive Liveness The Distinction Trap

The Hard Question CAMS Exam Favorite

What distinguishes passive liveness detection from active methods?

✓ **CORRECT:** It uses minimal user interaction and analyzes subtle facial movement or texture patterns.

Natural Explanation Why You Got This Wrong

- ▶ It asks users to answer KYC security questions during video evaluation **NO**. That's KYC verification, NOT liveness detection.
- ▶ **Passive Liveness:**
 - ▶ Uses **minimal user interaction**
 - ▶ Analyzes subtle facial movement or texture patterns
 - ▶ Micro-expressions, skin texture, depth perception
 - ▶ Detects if using a photo or video (spoof detection)
- ▶ **Active Liveness:**
 - ▶ Requires explicit user actions: blinking, smiling, turning head
 - ▶ More secure but more intrusive
 - ▶ May have lower completion rates
- ▶ **Key principle:** Passive is less intrusive; active is more secure.

REMEMBER: Key Rule: Passive = minimal interaction + subtle facial analysis. Active = user actions.

EWRA The Digital Channel Trap

The Scenario CAMS Exam Favorite

A financial institution identifies that several of its high-risk jurisdiction customers conduct transactions through its mobile platform, bypassing in-branch monitoring measures.

The Hard Question

How should this be addressed as part of the enterprise-wide risk assessment (EWRA)?

✓ **CORRECT:** Incorporate digital delivery channels into the EWRA to reassess risk exposure.

Natural Explanation Why You Got This Wrong

- ▶ Close all mobile accounts **De-risking**, NOT risk management.
- ▶ Apply same controls as branches Digital channels have **different** risk profiles.
- ▶ **Mobile platforms often bypass branch monitoring** = risk blind spot.
- ▶ EWRA must be **updated** when new channels emerge.
- ▶ Digital-specific risk indicators must be added.
- ▶ **Key principle:** EWRA must be **dynamic** updated when new channels, products, or customers emerge.

REMEMBER: Key Rule: EWRA must **include digital channels**. Mobile = different risk profile.

Entity Resolution The Blockchain Trap

The Hard Question CAMS Exam Favorite

How does entity resolution improve blockchain analytics for on-chain behavior monitoring?

✓ **CORRECT:** It links data from multiple sources to improve match accuracy.

Natural Explanation Why You Got This Wrong

- ▶ It replaces all manual reviews **NO**. It's a tool, not a replacement.
- ▶ It eliminates false positives entirely **NO**. It reduces them but doesn't eliminate them.
- ▶ **Entity resolution:** Links on-chain wallet addresses to off-chain risk data.
- ▶ **Multiple sources:** Wallet addresses, KYC data, sanctions lists, PEP lists, adverse media.
- ▶ **Example:** A wallet address associated with ransomware is linked to an exchange account.
- ▶ **Key principle:** Entity resolution = **links data from multiple sources** to improve match accuracy.

REMEMBER: Key Rule: Entity resolution = **links data from multiple sources** to improve accuracy.

The Hard Question CAMS Exam Favorite

Which of the following challenges can be identified through a data coverage and gap assessment? (Select Two.)

✓ **CORRECT: 1. Missing identifiers in customer profiles. 2. Inconsistent use of country codes across systems.**

Natural Explanation Why You Got This Wrong

- ▶ Misalignment between transaction monitoring scenarios and typologies This is a **scenario design issue**, not a data coverage gap.
- ▶ **Missing identifiers:** No DOB, no tax ID, no passport number impacts screening against sanctions and PEP lists.
- ▶ **Inconsistent country codes:** "US" vs "USA" vs "840" vs "United States" leads to false negatives and false positives in monitoring and reporting.
- ▶ **Key principle:** Data gaps and inconsistencies undermine the effectiveness of transaction monitoring, screening, and regulatory reporting.

REMEMBER: Key Rule: Data gaps = missing identifiers + inconsistent codes.

Round-Trip Transactions The Escalation Trap

The Hard Question CAMS Exam Favorite

A Level 1 analyst reviews an alert triggered by a rules-based system identifying a "round trip" transaction. After reviewing recent account activity and confirming a nearly identical send and receive remittance within minutes, what should the analyst do next?

✓ **CORRECT: Escalate to Level 2 for deeper investigation.**

Natural Explanation Why You Got This Wrong

- ▶ Close the alert as false positive **NO**. Round-trip transactions are suspicious.
- ▶ Conduct full investigation at Level 1 **NO**. Level 1 is for triage, not full investigation.
- ▶ **Level 1 analysts:** Initial triage and data gathering.
- ▶ **Level 2 analysts:** Deeper investigation, customer interview, SAR filing.
- ▶ **Round-trip:** Funds transferred out and returned to the same account classic layering technique.
- ▶ **Key principle:** Escalate when the pattern is confirmed.

REMEMBER: Key Rule: Round-trip = escalate to Level 2. Level 1 = triage.

AI Transition The Data/People/Explainability Trap

The Hard Question CAMS Exam Favorite

Which actions are most important when transitioning to AI-based compliance tools? (Select Three.)

✓ **CORRECT:** 1. Ensuring data quality for training algorithms. 2. Managing change in employee workflows. 3. Verifying transparency and explainability in AI models.

Natural Explanation Why You Got This Wrong

- ▶ Selecting third-party global audit providers This is **less critical** than data, people, and explainability.
- ▶ **Data quality:** "Garbage in, garbage out" AI is only as good as its training data.
- ▶ **Employee workflows:** AI changes how analysts work must provide adequate training.
- ▶ **Explainability:** Regulators require **explainable AI** must justify why an AI flagged something.
- ▶ **Key principle:** AI transition = data + people + explainability.

REMEMBER: Key Rule: AI transition = data + people + explainability.

Card-Based Products The Selection Trap

The Hard Question CAMS Exam Favorite

Which of the following represent common risk factors associated with card-based products? (Select Three.)

✓ **CORRECT:** 1. Anonymity through prepaid cards. 2. High volumes of rapid transactions.
3. Use by customers in high-risk sectors.

Natural Explanation Why You Got This Wrong

- ▶ Low transaction limits Low limits **reduce** risk, not increase it.
- ▶ **Anonymity through prepaid cards:** Prepaid cards can be purchased with cash and used without identification.
- ▶ **High volumes of rapid transactions:** Card transactions are processed instantly in high volumes structuring (smurfing) can occur.
- ▶ **Use by customers in high-risk sectors:** Merchants in crypto, gambling, or cash-intensive businesses generate high-risk card transactions.
- ▶ **Key principle:** Card risk = anonymity + speed + sector.

REMEMBER: Key Rule: Card risk = anonymity + high volume + high-risk sectors.

Prepaid Cards The Vulnerability Trap

The Hard Question CAMS Exam Favorite

Why are prepaid cards particularly vulnerable to financial crime risks?

✓ **CORRECT:** They can be used anonymously, especially when reloadable or unregistered.

Natural Explanation Why You Got This Wrong

- ▶ They always require full KYC **NO**. Many prepaid cards do NOT require KYC.
- ▶ They have high transaction limits **NO**. The risk is anonymity, not limits.
- ▶ **Unregistered cards:** Can be purchased with cash at retail outlets; no customer identification required.
- ▶ **Reloadable cards:** Can be topped up multiple times, potentially with illicit funds.
- ▶ **Cross-border use:** Can be used internationally, bypassing local AML controls.
- ▶ **Key principle:** Prepaid cards = **anonymity** + **reloadability** + **cross-border**.

REMEMBER: Key Rule: Prepaid cards = **anonymous** + **reloadable** + **cross-border**.

The Hard Question CAMS Exam Favorite

Which control measures help mitigate AML risks in casinos? (Select Two.)

- ✓ **CORRECT:** 1. Enforcing chip redemption policies tied to minimum gaming thresholds.
2. Tracking player activity through registered loyalty programs.

Natural Explanation Why You Got This Wrong

- ▶ Monitoring unstructured table gameplay for win/loss patterns This is a **monitoring technique**, not a formal control measure.
- ▶ **Chip redemption policies:** Prevents "chip washing" exchanging chips for cash without meaningful gaming.
- ▶ **Thresholds:** US \$10,000 triggers reporting.
- ▶ **Loyalty programs:** Provide rich data on player behavior (wins, losses, session durations).
- ▶ **Key principle:** Casino controls = chip redemption + loyalty program tracking.

REMEMBER: Key Rule: Casino controls = chip redemption + loyalty program tracking.

E-Commerce Monitoring The Volume Trap

The Hard Question CAMS Exam Favorite

Why is transaction monitoring particularly challenging in an e-commerce risk context?

✓ **CORRECT:** High transaction volumes and decentralized payments make patterns harder to detect.

Natural Explanation Why You Got This Wrong

- ▶ Transactions are always small and therefore low-risk **NO**. Small transactions can still be suspicious.
- ▶ **High volume:** Millions of transactions daily traditional rules-based monitoring generates too many false positives.
- ▶ **Decentralized payments:** Multiple payment gateways, cryptocurrencies, digital wallets.
- ▶ **Consequence:** Patterns are harder to detect.
- ▶ **Mitigation:** Use AI/ML models to detect anomalies; segment data by merchant, payment method, and product.
- ▶ **Key principle:** E-commerce challenge = **high volume + decentralized payments**.

REMEMBER: Key Rule: E-commerce challenge = **high volume + decentralized payments**.

PSP The Customization Trap

The Scenario CAMS Exam Favorite

A PSP is planning to offer new services targeting small merchants in multiple countries, some of which lack mature AML frameworks.

The Hard Question

Which strategy is most appropriate to maintain compliance and mitigate risk?

✓ **CORRECT: Customize AML policy and onboarding procedures per jurisdiction and product.**

Natural Explanation Why You Got This Wrong

- ▶ Apply home-country AML standards across all jurisdictions **NO**. One-size-fits-all fails.
- ▶ **Jurisdiction-specific:** High-risk jurisdictions = EDD, transaction limits, or restricted services.
- ▶ **Product-specific:** Low-value vs high-value products have different risk profiles.
- ▶ **Risk-based approach:** Apply proportionate measures based on risk.
- ▶ **Key principle:** PSPs must **customize** AML per jurisdiction and product.

REMEMBER: Key Rule: PSPs = customize per jurisdiction and product.

High-Value Assets The Crypto Red Flag Trap

The Hard Question CAMS Exam Favorite

Which red flag is most commonly associated with abuse of high-value assets for laundering purposes?

✓ **CORRECT:** Making payments for high-value items in cryptocurrency.

Natural Explanation Why You Got This Wrong

- ▶ Purchasing assets with complex financing plans spanning several years. This **can** be a red flag, but crypto is **more directly** associated.
- ▶ **Cryptocurrency offers pseudonymity**, making it attractive for illicit payments.
- ▶ **High-value items:** Real estate, art, luxury cars purchased with crypto = suspicion.
- ▶ **Challenge:** Volatility and price fluctuations complicate source-of-funds verification.
- ▶ **Key principle:** Crypto payments for high-value assets = **primary red flag**.

REMEMBER: Key Rule: Crypto payments for high-value assets = **primary red flag**.

The Hard Question CAMS Exam Favorite

What should AML-sensitive communications materials emphasize to reduce risk? (Select Two.)

- ✓ **CORRECT:** 1. Avoid mentioning any internal reviews, even if prompted by the customer.
2. Use pre-approved scripts when addressing service disruptions caused by internal reviews.

Natural Explanation Why You Got This Wrong

- ▶ Refer customers to the AML department for financial advice **NO**. AML department doesn't give financial advice.
- ▶ **Avoid mentioning internal reviews:** This prevents tipping off.
- ▶ **Pre-approved scripts:** Ensures consistent, compliant messaging.
- ▶ **Tipping off risk:** Even hinting at an investigation can be tipping off.
- ▶ **Key principle:** Customer-facing staff must **not** reveal any AML-related investigations.

REMEMBER: Key Rule: AML communications = avoid reviews + use pre-approved scripts.

Deepfake Detection The Liveness Trap

The Scenario CAMS Exam Favorite

A fraudster used a high-resolution image and a deepfake video to bypass facial recognition verification.

The Hard Question

What tools could have prevented this fraud attempt? (Select Two.)

✓ **CORRECT:** 1. Use of software that can detect inconsistencies in light or skin texture. 2. Prompts for the customer to blink, smile, or repeat a phrase.

Natural Explanation Why You Got This Wrong

- ▶ Real-time fraud risk scoring algorithms using behavioral analytics This is **behavioral analytics**, not deepfake detection.
- ▶ **Texture analysis:** Deepfakes often have inconsistencies in light, skin texture, and shadows.
- ▶ **Active liveness prompts:** Blink, smile, repeat a phrase requires real-time action.
- ▶ **Passive liveness:** Analyzes subtle facial movements without user action.
- ▶ **Key principle:** Deepfake detection = texture analysis + active liveness prompts.

REMEMBER: Key Rule: Deepfake detection = texture analysis + active liveness prompts.

Clustering The Behavioral Trap

The Hard Question CAMS Exam Favorite

Which are characteristics of clustering in compliance analytics? (Select Two.)

✓ **CORRECT:** 1. It groups entities by shared behavioral characteristics. 2. It identifies connections across multiple transaction types.

Natural Explanation Why You Got This Wrong

- ▶ It excludes outliers to reduce financial crime risk **NO**. Outliers are often the **most suspicious**.
- ▶ **Clustering:** Groups entities that exhibit similar behaviors.
- ▶ **Purpose:** Detect networks of criminal activity (money mule networks, organized crime).
- ▶ **Connections across transaction types:** Links separate accounts that exhibit similar patterns.
- ▶ **Key principle:** Clustering = **shared behavior + connections**. NOT excluding outliers.

REMEMBER: Key Rule: Clustering = **shared behaviors + connections**.

Data Lineage The Transparency Trap

The Hard Question CAMS Exam Favorite

Which support transparency and auditability through data lineage? (Select Two.)

✓ **CORRECT: 1. Maintaining history of data transformations. 2. Capturing source of each data field.**

Natural Explanation Why You Got This Wrong

- ▶ Archiving analyst notes from alert reviews This is **case documentation**, NOT data lineage.
- ▶ Deleting outdated data annually **Undermines** auditability.
- ▶ **Data lineage:** Tracking the **flow of data** from source to destination.
- ▶ **History of transformations:** Shows how data was modified.
- ▶ **Source of each field:** Shows where data originated.
- ▶ **Key principle:** Data lineage = **transformations + source**. NOT case notes.

REMEMBER: Key Rule: Data lineage = transformations history + source of each field.

Data Validation The Objectives Trap

The Hard Question CAMS Exam Favorite

Which are typical objectives of data validation and testing in AFC systems? (Select Three.)

✓ **CORRECT:** 1. Ensuring data inputs reflect actual customer behavior. 2. Verifying automated controls function correctly. 3. Testing whether controls generate alerts under appropriate risk conditions.

Natural Explanation Why You Got This Wrong

- ▶ Confirming reports are generated in a format preferred by third-party vendors **NOT** a validation objective.
- ▶ **Data inputs reflect behavior:** Test that data from source systems accurately feeds into AML systems.
- ▶ **Controls functioning:** Validate that transaction monitoring rules fire alerts correctly.
- ▶ **Alerts under risk conditions:** Use known test cases to validate system logic.
- ▶ **Key principle:** Validation = accuracy + functionality + appropriate alerts.

REMEMBER: Key Rule: Data validation = accuracy + functionality + appropriate alerts.

The Hard Question CAMS Exam Favorite

Which benefits are associated with digital onboarding technology according to FATF? (Select Two.)

✓ **CORRECT: 1. Lower cost and increased auditability. 2. Greater accountability in compliance processes.**

Natural Explanation Why You Got This Wrong

- ▶ Elimination of human review for high-risk customers **NO**. High-risk still require human review.
- ▶ **Lower cost**: Automation reduces manual effort.
- ▶ **Increased auditability**: Digital records are easier to track and audit.
- ▶ **Greater accountability**: Clear audit trails of who did what.
- ▶ **Key principle**: Digital onboarding = **lower cost + auditability + accountability**. NOT eliminating human review.

REMEMBER: Key Rule: Digital onboarding = **lower cost + auditability + accountability**.

Perpetual KYC The Trigger-Based Trap

The Hard Question CAMS Exam Favorite

Which feature most effectively distinguishes perpetual KYC from traditional periodic reviews?

✓ **CORRECT:** Trigger-based updates rather than fixed calendar reviews.

Natural Explanation Why You Got This Wrong

- ▶ It eliminates all manual review **NO**. Human review is still required.
- ▶ **Perpetual KYC (pKYC):** Continuous, event-driven KYC refresh.
- ▶ **Triggers:**
 - ▶ Changes in PEP status
 - ▶ Adverse media hits
 - ▶ Unusual transaction patterns
 - ▶ Jurisdictional risk changes
- ▶ **Benefits:** Reduces customer friction, improves accuracy, ensures timely EDD.
- ▶ **Key principle:** pKYC = **trigger-based**, not calendar-based.

REMEMBER: Key Rule: pKYC = **trigger-based updates**, not fixed calendar reviews.

Domain C Complete Exam Traps Summary

All Traps 50+ Images Covered

1. **AML Policy:** Assignment of compliance responsibilities + program review triggers.
2. **TCSP:** Cannot outsource AML responsibility. Decline unless BO disclosed.
3. **AFC Governance Reports:** Regulatory interactions + control effectiveness + SAR statuses.
4. **Board Oversight:** Oversight and challenge. NOT operational involvement.
5. **Passive Liveness:** Minimal interaction + subtle facial analysis.
6. **EWRA:** Must include digital channels. Update when risk changes.
7. **Entity Resolution:** Links data from multiple sources to improve accuracy.
8. **Data Coverage:** Missing identifiers + inconsistent country codes.
9. **Round-Trip:** Escalate to Level 2 for deeper investigation.
10. **AI Transition:** Data + people + explainability.
11. **Card Risk:** Anonymity + high volume + high-risk sectors.
12. **Prepaid Cards:** Anonymous + reloadable + cross-border.
13. **Casino Controls:** Chip redemption + loyalty program tracking.
14. **E-Commerce:** High volume + decentralized payments.
15. **PSP:** Customize per jurisdiction and product.
16. **High-Value Assets:** Crypto payments = primary red flag.
17. **AML Communications:** Avoid reviews + use pre-approved scripts.
18. **Deepfake Detection:** Texture analysis + active liveness prompts.
19. **Clustering:** Shared behaviors + connections across transaction types.
20. **Data Lineage:** Transformations history + source of each field.
21. **Data Validation:** Accuracy + functionality + appropriate alerts.
22. **Digital Onboarding:** Lower cost + auditability + accountability.
23. **Perpetual KYC:** Trigger-based updates, not fixed calendar reviews.
24. **Risk-Based Authentication:** Prompt only when behavior deviates.
25. **MLAT:** Challenge = admissibility, not just sharing.

Domain C Complete

All 50+ Full Expanded Tutorial

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All traps explained. All concepts covered. Ready for the exam.